CASE STUDY: SENIOR MANAGER, PRODUCT DATA ANALYST | CONTENTSQUARE

Part 1: Investment Decision

Hypothesis & Data Exploration

The Product Director wants to know: should we stop, maintain, or increase investment in CS Apps?

1. What hypotheses frame the investment decision?
2. What does the data say, and where is data quality a problem?
3. What 2–3 insights answer the question?
4. What additional data would deepen the analysis?
5. What is the strategic recommendation?

Revenue is growing but delivery is broken | increase investment to fix adoption before the renewal cliff

EXECUTIVE SUMMARY

CS Apps shows strong revenue traction (+37% ACV, +30% accounts) but a clear gap between **selling and delivering value**. Only **15% of accounts are live**, **71% have zero certified users**, and the **health metric is flawed** because it blends CS Digital usage into CS Apps health, making non-users appear healthy. The real risk is **renewal refusal from non-users with no ROI evidence**, not active churn.**$16.0M renews in Q4 across 31 accounts**, creating concentrated exposure.

Acquisition is strong (revenue is growing) → but adoption is fragile (clients aren't going live or engaging) → creating a latent renewal risk: non-adopters face procurement conversations with no ROI evidence.

PILLAR	PILLAR	PILLAR
P1: Acquisition & Growth Revenue & account base	**P2: Adoption & Engagement** Implementation, certification & usage	**P3: Retention & ARR** Renewal pipeline & health
CORE QUESTION Is CS Apps generating and growing revenue?	CORE QUESTION Are clients reaching time-to-value, adopting, and engaging?	CORE QUESTION Will this revenue renew or churn?
STATUS **Strong**	STATUS **Broken / Ramping-up**	STATUS **At Risk**
SUMMARY +37% ACV, +30% accounts: demand is real	SUMMARY 86% not live, 71% zero certified users, shallow engagement	SUMMARY Health metric is unreliable. The real risk: 31 accounts renewing if CS Apps adoption to justify the spend

- Focus on strategic segments (e.g. Telco, Americas)

- Increase visibility of high-stickiness modules (Workspace, Error Analysis) to drive engagement
- Focus on implementation and integration bottleneck

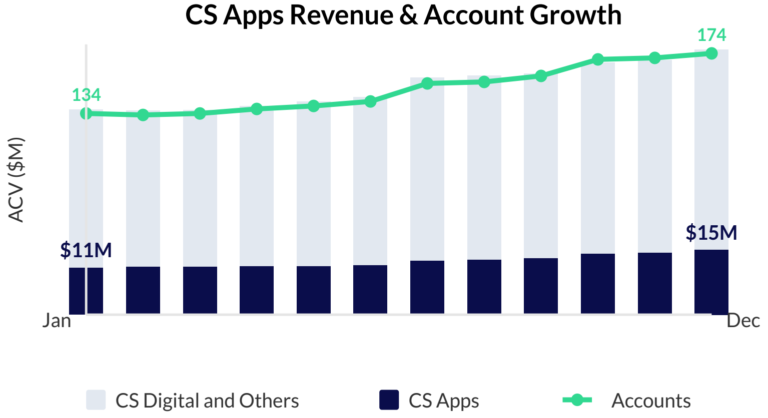
- Triage the 31 Q4 accounts now: identify which are non-live, assign implementation owners, and build the ROI case before renewal conversations start

P1: +37% ACV and +30% accounts in 12 months | demand is real, the problem is not sales

P1 Acquisition & Growth: Is CS Apps generating and growing revenue meaningfully?

H1 | Revenue & Account Growth

Metric	Jan 2023	Dec 2023	Change
CS Apps ACV	$11M	$15M	**+37%**
Total relationship ACV	$49M	$63M	+29%
Number of accounts	134	174	**+30%**
Mean CS Apps ACV per account	$84.1K	$89.0K	+6%
CS Apps penetration (Apps / Total ACV)	**23%**	**25%**	**+2pp**



CS Apps ACV is growing faster than total relationship ACV (+37% vs. +29%), meaning CS Apps is increasing its share of the Contentsquare wallet.

H7 | High-Value Segment Opportunity

GEO	Accounts	TOTAL_ACV	APPS_ACV	UFR	PEN %
EMEA	121	38.6M	9.2M	1.4M	24%
AMERICAS	42	22.3M	4.8M	6.5M	22%
APJ	11	2.3M	1.4M	338k	63%
Grand Total	**174**	**63.1M**	**15.5M**	**8.2M**	**25%**

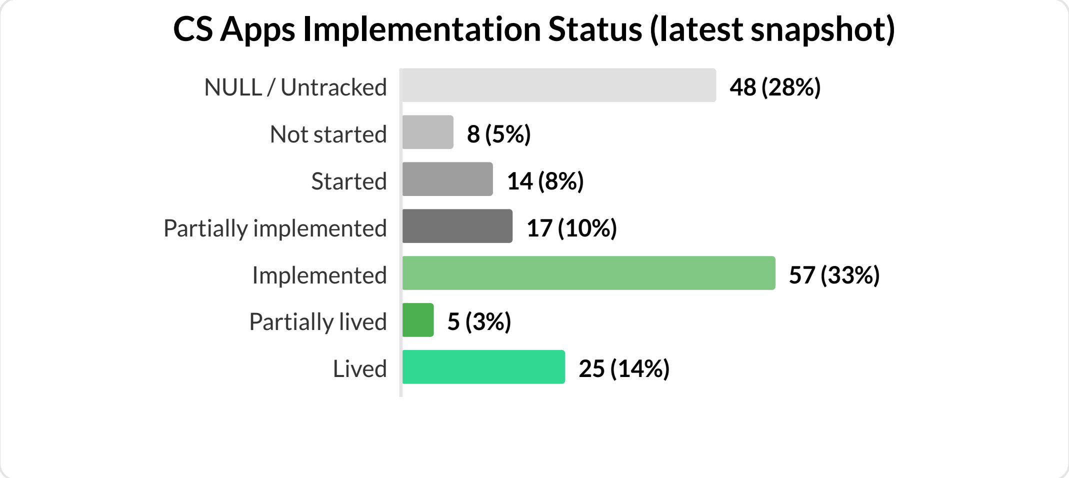
- Americas has a **$6.5M UFR** to renew in December, driven by one account in Telco. This account only represents 28% of ACV Apps in America with **$4.7M in UFR** for December.
- APJ has a high CS Apps penetration of **63%**, that should be analyzed to replicate the playbook.
- Retail, Telco and BFSI are the top 3 verticals for CS Apps with **61%** of the Total Apps ACV.

P1 verdict: Acquisition is strong. CS Apps is selling well and growing. The problem is not demand; it's what happens after the sale.

P2: 86% of accounts are not live and 71% have zero certified users. Adoption is the broken link

P2 Adoption & Engagement: Are clients reaching time-to-value, adopting, and engaging?

H4 | Implementation Bottleneck



Only 25 (14%) "Lived"; 57 (33%) at "Implemented"; 48 (28%) untracked. 86% not in production.

H2 | Certification & Adoption Gap

- **Certification gap:** in average 0.7 certified users per account — vs 18 on CS Digital.
- **Zero adoption:** 71% of accounts (132/185) have no certified CS Apps users.
- **Declining engagement:** Users grew modestly (455 → 589), but sessions per user fell from 14.5 to 10 in Dec. Engagement intensity is declining as the base expands.

H6 | Shallow Module Engagement

1 in 4 sessions lands on the Homepage. Users who reach Zoning, Workspace, or Error Analysis show higher engagement; this is a depth-of-usage problem.

Module	% Sessions	Avg Sess/User	Note
Homepage	25.7%	**2.9**	Navigation, not value
Zoning Analysis	18.2%	**3.8**	Core analytics
Journey Analysis	11.3%	**2.8**	Core analytics
Workspace	7.4%	**4.0**	High stickiness
Session Replay	6.4%	**3.6**	Core analytics
Error Analysis	0.6%	**4.4**	Highest stickiness, lowest reach

Highlighted rows = high stickiness modules (Workspace, Error Analysis), showing low reach but strongest engagement signal.

P2 verdict: Adoption is the broken link. 86% of accounts are not live. Those that are live have 0.69 certified users on average and shallow module engagement.

P3: $7.2M of the Q4 renewal cliff sits with unhealthy accounts | retention is at risk if adoption is not fixed

P3 Retention & ARR: Will the revenue CS Apps has created survive renewal, or is it at risk of churn?

H5 | Renewal Pipeline at Risk

Fiscal Quarter	UFR	Accts	% Accts Healthy	% UFR Healthy	Renewal Rate	ACV Retained
Q4-2022	$5M	20	56%	57%	90%	85%
Q1-2023	$2.7M	15	63%	55%	87%	83%
Q2-2023	$5.1M	23	58%	88%	96%	96%
Q3-2023	$5.4M	17	57%	62%	94%	97%
Q4-2023	**$16M**	31	**54%**	**56%**	**n/a**	**Target ≥90%**

Overall health scores don't predict renewals. What matters is whether the cohort of renewing accounts are healthy, and that signal is flashing red.

Q4 enters with only 55.7% of renewing ACV held by healthy accounts with $16.0M at stake (47% of the full-year pipeline).

P3 verdict: The health metric cannot be used as evidence of deterioration. The real retention risk is not active churn. It is renewal refusal: 31 accounts renew $16.0M in Q4 with no CS Apps adoption to justify the contract. Fix implementation now, not after renewals fail.

Five actions close the delivery gap before the Q4 renewal cliff

Five actions close the delivery gap before Q4 2024, with three data pipeline fixes that are prerequisites*

Objective	KPIs	Initiatives
P2 Adoption | OBJECTIVE — HIGH Improve engagement and adoption of the platform	KPIS • "Lived" rate: 14% → 40%+ • 0 → 3+ certified users/account • Homepage share 26% → 15%	INITIATIVES • Accelerate implementation • Drive certification • In-product activation flows
P3 Retention | OBJECTIVE — MEDIUM Secure the Q4 renewal cliff before procurement conversations start	KPI • Renewal rate ≥90% on $16.0M Q4 UFR	INITIATIVE • Triage 31 Q4 accounts by go-live status; assign owners to non-live
P1 Acquisition | OBJECTIVE — LOW Sustain and accelerate revenue and account growth	KPI • Benchmark Fashion 73% health	INITIATIVE • Segment playbooks (Telco & Americas)

Data Quality Audit

NULL Implementation Status — HIGH
29% (82 accounts) | 518 rows untracked; systemic pipeline issue

NULL Contract Dates — MEDIUM
29% start · 28% end | Blocks cohort analysis and time-to-live calculations

AVG_WAU_GLOBAL = 0 — CRITICAL
156 rows (49 accounts) | Breaks health metric for ~27% of base

What Would Deepen This Analysis

Sales
Win/loss data vs. Glassbox / FullStory
Cross-sell attach rate into CS Digital base

CS Team
Renewal outcomes for early cohorts
Time-to-go-live by segment

Market
TAM by vertical — is Telco a ceiling or opportunity?

Customer
Exit verbatims from churned accounts

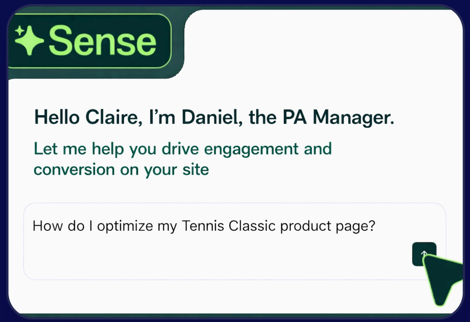
ADDITIONAL QUESTION

Part 2: AI-Era Pricing & Health

Monetization & Account Health Redefinition

The current CSQ pricing model has the risk of "Value Leakage", where the client gets massive ROI from AI-driven insights but we are not monetizing it as revenue stays flat.

1. Should Sense Analyst be priced as a flat-fee add-on, success-based tier, or credit-based model?
2. What analysis determines the right pricing model?
3. How do we redefine account health when AI reduces human time-in-tool?



Daily Sense Analyst quotas by tier capture AI value without replacing session pricing

How do we capture the extra value Sense delivers per session?

Introduce daily Sense Analyst query quotas by tier **(Quota + Tier model)**, with Sense Chat included free across all plans. This captures AI value without replacing session-based pricing.

How the Market Is Pricing AI Today

Flat-Fee Add-On

How it works

Fixed $/year for unlimited AI

Gainsight

Simple but misaligned; leaves value on table

Usage / Token-Based

How it works

Pay per AI query or token

PostHog | Anthropic API

Transparent but volatile for budgets

Outcome-Based

How it works

Pay per resolved outcome

Intercom Fin ($0.99/ticket)

Hard to measure in analytics

Recommended

Quota + Tier

How it works

Daily/monthly cap per tier, upgrade for more

Anthropic Claude | Salesforce Agentforce

Best fit: frequent friction drives upgrades

Key findings

- Analytics competitors (Amplitude, Mixpanel, Heap) currently bundle AI into tiers for free. This works because their AI features are lightweight. When AI becomes the primary interface (as Sense Agent intends) bundling alone won't capture the value.
- **The Anthropic parallel is instructive:** Claude Pro users hit a daily usage cap and must either wait until the next day or upgrade to a higher tier. This creates frequent, low-friction upgrade pressure without fully blocking work.

A 5-query daily cap covers ~96% of users and creates natural upgrade friction

Daily Sense Analyst caps by plan; Sense Chat included free on all tiers

Free
A simple way to get started

€0 / forever

- ✓ Up to 200K monthly sessions
- ✓ Session Replay & heatmaps
- ✓ **Sense Chat included**
- ✓ **Sense Analyst not included**

Growth
Most popular

Optimize experiences to boost engagement

From €39 / month

All features from Free, and:

- ✓ Starting at 7K monthly sessions
- ✓ **Sense Chat unlimited**
- ✓ **Sense Analyst 5 queries/day***
- ✓ Cap resets daily

Pro
Surface optimizations faster, prioritize by impact

Let's talk

All features from Growth, and:

- ✓ Starting at 1M monthly sessions
- ✓ **Sense Analyst 25 queries/day**
- ✓ Multi-session replay summaries
- ✓ Precision filtering, retroactive

Enterprise
Scale optimization across the enterprise

Let's talk

All features from Pro, and:

- ✓ Custom sessions
- ✓ **Sense Analyst unlimited**
- ✓ Error summaries & data feeds
- ✓ Unlimited projects

* **Why 5/day?** Customers average 3 sessions daily; 5 queries/day is an estimate that should cover most workflows while creating a clear upgrade incentive. Cap resets daily. \n Based on the logs data from AI Sense, we can calculate the optimal amount of queries, tokens, or credits (e.g. 1 credit = 1 question, 3 credits = 1 zone analysis).

Why this model wins

Captures uncaptured value
Revenue tied to AI usage, not just session volume.

Preserves session pricing
Sessions remain the base layer; Sense quota is additive.

Simple to explain
Global daily cap per tier is transparent and easy for procurement.

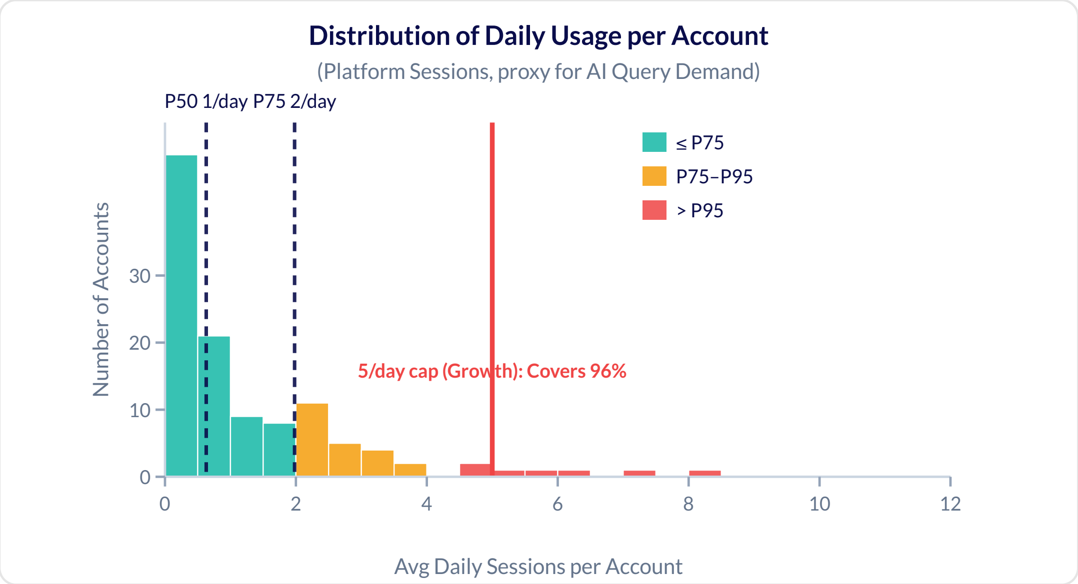
Natural upgrade path
Regular friction drives tier upgrades without blocking work.

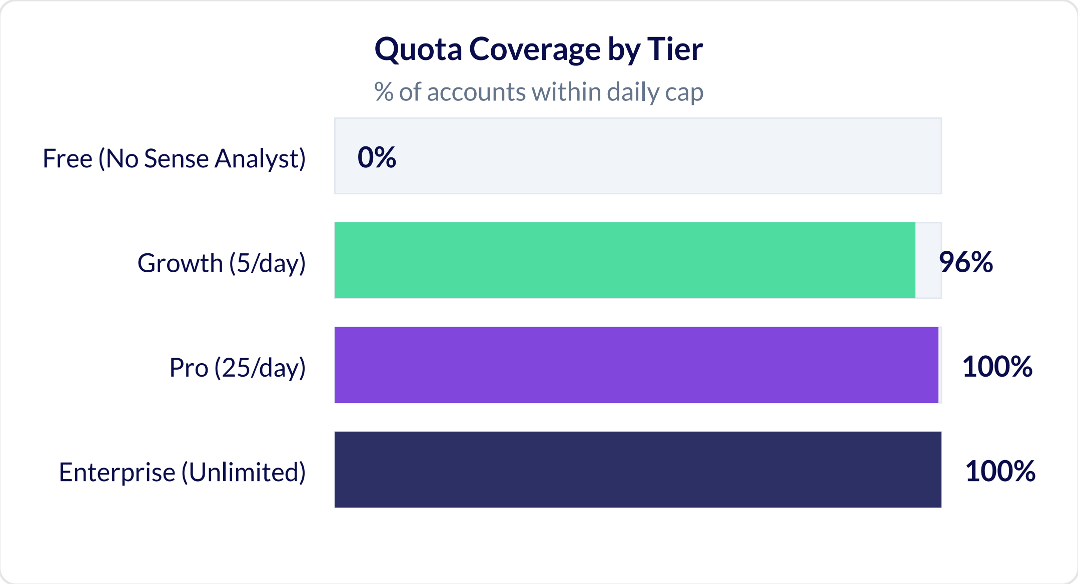
How it works

1 A Growth analyst runs **5 Sense Analyst queries**; full day's workflow covered. →

🔒 **Your team hit today's 5-query limit.**
Upgrade to Pro for 25/day, or cap resets tomorrow.
Upgrade to Pro →

Usage is concentrated: top 20% drive 65% of sessions, validating tiered quotas





Is usage heavily spread across accounts or concentrated among a few? The data shows concentration: top 20% = 65% of sessions, P90 vs. median = 6×.

The subsidization problem: Under a flat-fee model, light users would subsidize heavy users; quota + tier aligns price with usage.

Why did we discard all other models?

Flat-Fee Add-On (discarded): Usage is too concentrated (top 20% = 65%). Heavy users would be subsidized.

Success-Based Tier (discarded): Cannot prove usage drives outcomes with current data.

Credit-Based (needs more data): Cannot test; Sense query logs not available yet.

Quota + Tier (confirmed): Natural daily breakpoints exist (P50, P75, P90). 5/day creates friction without blocking work.

Additional data that would sharpen this decision?

Sense query logs (type, cost, timestamp): whether different query types cost enough to justify credits.

Query → action taken (export, share): whether usage correlates with outcomes; would revive Success-Based.

Renewal outcomes by usage tier: whether heavy users actually renew at higher rates.

The current health metric masks adoption failure. A three-pillar formula fixes it

Pillars

P1 | Implementation Velocity

Non-Live only. Dropped once Live.

- 100 if within implementation window
- Linear decay beyond window

P2 | Adoption (ACV-Normalized)

```
min(Cert/(ACV×α),1)×100
```

Normalizes adoption vs account size.

P3 | Engagement Quality (AI-Aware)

```
max(0, 100−ACV/(WAU+Sense Q/wk)×β)
```

WAU + Sense Queries/week to avoid penalizing AI migration.

Formula: The current health metric masks adoption failure. A new three-pillar formula accounts for AI engagement

If Non-Live / Partially Live:

```
Score = (0.15×P1) + (0.25×P2) + (0.60×P3)
```

If Live:

```
Score = (0.3×P2) + (0.7×P3)
```

Healthy = Score ≥ 50

Illustrative Examples (Dummy Data)

Assumed constants: α = 1/100,000 · β = 1/500 · Expected implementation window = 90 days

Account	ACV	Status	Impl Days	WAU	Sense Q/wk	Cert Users	P1	P2	P3	Score
A — Acme Corp	$200K	Non-Live	210	2	0	1	0	50	0	**15 ⚠**
C — Gamma Inc	$200K	Live	–	20	10	5	–	100	87	**92 ✓**

Data Required to Validate

Input	Current Estimate	Needed To Calibrate
α: adoption rate per $ ACV	1/100,000	Distribution of (Cert Users / ACV) across live accounts
β: engagement sensitivity	1/500	Distribution of ACV / (WAU + Sense Q) ratios; calibrate so P50 account scores ~50
Break-even ratio (P3 = 50)	~$25K ACV per (WAU+Q)	Recalibrate once Sense query telemetry is available
Expected implementation window	TBD	Historical time-to-go-live by account tier
Sense Queries/week	Not yet available	Requires Sense query logs at account level, currently proxied by platform sessions

Q&A

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